

South African Fixed Income Market

Key Participants & Market Structure

Understanding the ecosystem of capital flows, intermediaries, and institutions that drive South Africa's sophisticated fixed income markets



Market Ecosystem Overview

Capital Seekers



Government (National Treasury): 77% of total listed debt, 90% of trade volume

SOEs: Eskom, Transnet, SANRAL providing infrastructure funding

Corporates & Banks: Only 3% of listed debt market

Sell-Side Intermediaries



Primary Dealers: Underwrite new issues and provide secondary market liquidity

Market-Making Banks: Distribute research, price and risk manage wholesale flows, facilitate trading access

Brokers: Match mutual interests for a fee without taking principal exposure

Capital Providers



Institutional Investors: Insurers, asset managers, pension funds, and PIC

Retail Access: Mostly via Unit trusts and collective investment schemes. Occasional retail RFQ via broker platforms

Supporting Infrastructure

Regulatory Oversight

SARB: Monetary policy and financial markets supervision

Financial Conduct Authority:
Market oversight and regulation

Market Infrastructure

JSE Debt Market: Trading platform and OTC matching for government securities

Strate: Settlement and custody infrastructure ensuring smooth operations

The ecosystem operates through coordinated capital flows: savings from investors flow to issuers through bond markets, while research and pricing intelligence flows from sell-side to buy-side participants.



Fixed Income Securities Landscape

Government Securities

Issued by **National Treasury** - the risk-free benchmark

- Fixed-rate government bonds (R2030, R2032)
- Inflation-Linked Bonds (ILBs)
- Treasury Bills for short-term funding

SOE Bonds

Quasi-sovereign credit risk with state backing

- Eskom 2028 Bonds
- Transnet Senior Notes
- SANRAL Infrastructure Bonds

Bank Debt

Commercial bank funding and capital management

- Senior unsecured bank bonds
- Subordinated Tier-2 capital
- Negotiable Certificates of Deposit

Corporate Debt

Non-financial company project and operations funding

- MTN, Sasol, Shoprite bonds
- Commercial paper
- Private placements

Global Market Position

Regional Leadership

Largest local market AUM with the most sophisticated local investor base across all emerging markets

Government Concentration

Government securities dominate both issuance (77% of listed debt) and trading activity (90% of secondary market volume)

International Appeal

Very active foreign investor participation, reflecting market credibility and accessibility

Structural Opportunities

Limited MBS market and corporate bond liquidity create structuring opportunities for liability matching and risk diversification





Derivative Instruments



Money Market Derivatives

Manage short-term interest rate risk and funding costs through Forward Rate Agreements (FRAs) and 3M JIBAR futures on the JSE. Evolving into ZARONIA swaps



Interest Rate Swaps

Fixed-for-floating swaps against 3M JIBAR, spanning 2-30 year maturities for duration management by banks and asset managers. Soon to switch to ZARONIA



Bond & Inflation Derivatives

Bond futures (R186, R2030) traded on JSE, plus OTC inflation swaps linking CPI to nominal rates



Cross-Currency Products

ZAR/USD cross-currency swaps managing FX and basis risk, particularly for SOEs and corporates with offshore issuance

Career Paths: Issuers

01

Government Sector

National Treasury: Budget office and liability management teams determine funding strategies and monitor SOE exposures with government guarantees

02

Central Banking

SARB Financial Markets Department: Implementing monetary policy and overseeing market operations

03

Corporate Treasury

Fund operations and implement hedging strategies to match funding sources with anticipated income streams

04

Bank Treasury

Issue bonds and bills while actively managing asset-liability mismatches and interest rate risk profiles





Sell-Side Banking Careers

Local Banks

Standard Bank, ABSA, RMB, Nedbank, Investec

Benefits: Complete product range and full SA market career opportunities

Drawback: Limited mostly to local market exposure

Global Banks

JPMorgan, Citibank, Deutsche Bank

Benefits: International client exposure and offshore career development

Drawback: Local roles constrained by branch balance sheet limits and vanilla product trading opportunities

Global banks typically manage most trading from London, with local operations focused on balance sheet management, government debt, and client coverage.

Fixed Income Banking Roles

1

Sales

Cover key accounts from issuers requiring hedging to insurers and asset managers. Success driven by trade volume and profitability, requiring strong technical knowledge and interpersonal skills.

2

Trading

Thrive in high-pressure environments with deep technical product expertise. Fast-paced decision making combined with essential networking capabilities. Though trading revenue is the primary benchmark, ultimately success comes from your network

3

Research

Strategy and economics focus requiring strongest technical background. Data science and AI integration increasingly prominent, success measured by behavioral impact.

4

Operations & Finance

Operations ensure accurate trade booking and settlement. Finance teams account for daily P&L and reconcile trading predictions with actual results.



Future Outlook & Key Opportunities

Institutional Independence

Global threats to central bank independence will significantly impact rate and FX market dynamics worldwide

Debt Sustainability

South Africa's mounting debt burden will reshape issuance patterns, SARB policy responses, and investor positioning strategies

Product Innovation

Evolving instruments will emerge to address specific risk management needs and market inefficiencies.

AI Transformation

Artificial intelligence will fundamentally reshape fixed income roles - important to position appropriately and use it to your benefit. Traders are not generally tech aware!

The intersection of technological advancement, fiscal challenges, and evolving market structures will define the next chapter of South African fixed income markets.